

beating the market averages," I could hardly believe my ears. Did he mean that all these layers of experts didn't get any better results overall than the broad group of ignoramuses out there, investing willy-nilly?

I tried to step back and consider this logically. Here were the sell-side analysts earning \$150,000 and up, depending on their grades, for recommendations that had to be reviewed by the buy-side analysts, who earned as much or more. Then the recommendations of buy-side analysts again were reviewed by portfolio managers, who earned an even greater amount to make insecure decisions, the consequences of which they avoided by acting only in concert. In the end, none of this did any good, and most of them failed to beat the market averages.

I discussed the matter further with Mr. Platt and others, and got several explanations. One was that since the general public no longer buys much stock, the big institutions compete against themselves and can't possibly beat each other at the same game. Another was that portfolio managers are judged every three months and can't afford to take chances. Mr. Lipper had mentioned that "most of the large chunks of money are managed by people who think alike, who are trained in the same places, and who serve clients who want to hear the same sorts of things." This so-called group-think, he said, caused many managers to adopt the identical strategy. In this way, many portfolio managers tried to be average, so they couldn't possibly beat the average.

A few institutions had attempted to do away with the sell-side/buy-side/portfolio-manager system. One of those was Battery March Financial in Boston. When I visited Gillette up there, I also visited Battery March. There, the portfolio manager had been replaced by a computer.

Dean LeBaron, a balding veteran of Wall Street who recruited the computer, gave me the tour. As he showed me through the office, I noticed fewer employees than I'd seen at Bankers Trust. Around the perimeter of the large open room were a dozen or so cubicles, occupied by the cheerleaders and babysitters of the big brain, which took up the floor space in the middle.

Mr. LeBaron explained that the Battery March computer picked the stocks, watched the prices, monitored the action, decided when